April 16th, 2026

Strait Ahead

By the time you're reading this, we could be in the midst of a completely different setting regarding market headlines, so forgive me if much of this reads like a fool's errand. One fact we can stand tall on is that the current US/Iran conflict is the biggest fist in the market's fight. I'll spend a little time today commenting on the macro-geopolitical background we are currently in before diving into specific equities. Below is a brief summary of notable geopolitical headlines we've experienced since our last memo.

March 12th - Trump lifts sanctions on Russian oil.
March 20th - Trump lifts sanctions on Iranian oil at sea. US announces release of 400 million barrels from SPR.
March 23rd - Trump claims "very good talks", Iran officials deny any talks happened.
March 27th - Iran announces closure of Hormuz to all allied vessels. Tanker traffic dropped to zero.
April 1st - Trump addresses the country, ensures "military objectives achieved shortly."
April 5th - Trump threatens Iran power plants and bridges.
April 6th - Pakistan-mediated talks begin, Iran rejects, calling for complete solution.
April 7th - Trump threatens, "a whole civilization will die tonight."
April 8th - a two-week cease fire is announced.
April 9th - Strait of Hormuz remains closed.
April 12th - Pakistan-mediated talks collapse, Trump announces naval blockade.
April 13th - Naval blockade of Iranian ports takes effect.
April 15th - Trump says war "Very Close to Over," market continues to rally

As to what the next headline will be, your guess is as good as anyone's. The only surety is that there will be one. As we've seen so far in April, the market has switched its tune, gaining roughly 7%, with yours truly (***NVDA***) gaining 14% in the same two-week period. You are witnessing the reality that we've made note of several times over the last year and until we are given reason to believe otherwise, it will remain true.

> *It bears repeating again, but you'll know when the market has its strength back by the price action of NVDA. When that period comes, it will be better to play NVDA rather than the broad market (SPY/VOO). NVDA remains a ~9% position for me and I'll look to add to this holding should we see below $170/share.*

We have used NVDA as our barometer for well over a year now and until the fundamentals around this name begin to crack, I will continue to do so. The above quote from our March memo illustrates this belief in real time. NVDA got down to $166/share before pivoting violently in early April, now trading at $199/share. For much of the last eight months, this name has traded within a range of $170-$210, and from a technical perspective, looks strong moving forward. You've essentially been given eight months of buying opportunities in the #1 stock in world history. We added slightly in March around $170/share and still maintain roughly a 10% holding in the market leader.

*NVDA 1Y chart visual - April 14th, 2026

Whether the recent price action continues across the broader market, time will tell. I do believe today's market differs materially from that of last April in many ways. I'll make note of a few bigger differences below.

- *The market lever this time around is not as easily controlled as tariff threats were*. While Trump is still an announcement away from adding or removing a trillion in market cap, the band has become slightly stretched in my opinion. The audience, particularly retail investors, has watched the movie a few too many times by now.
- *The Iran geopolitical energy wildcard is now a leading factor*. Markets hate undefinable risk, and a Middle East conflict does just that.
- *The labor market has slowly collapsed*. This was not the case in 2025 and served as a resource narrative for bulls.
- *AI sentiment has inverted somewhat*. Last year we were in the "euphoria" phase of AI and this year we are in the "show me ROI" phase of that same ball game. A second thought here is the ongoing energy conflict bleeds into AI economics in a major way should energy prices remain elevated.
- *The world is now more structurally multipolar*. Markets can price a tariff, they can not as easily price the potential end of a "friendly" American hegemony.

Overall, I think many investors are surprised how well the market has endured considering the abovementioned. With everything we've seen so far this year, we are miraculously at all time highs. What we've witnessed the last week or so is a poster child for those who short the market. Even if you think the market is on the brink of disaster, it can still wipe you out. Am I one to think we have bottomed for the year? Hopefully, but there is enough reason to ascertain that short-term uncertainty remains present in a bigger way than one would like to admit. The good news is the market is amoral and its volatility is a measure of uncertainty. I say that to lead into the idea that no matter how sorrowful Mr. Market may appear, *we are always just a few days (or tweets) away from a fresh bull market*.

Recent Ideas

The names we've discussed so far this year have been no exception to volatility and I can certainly guarantee that will continue going forward. You are very well aware of our recent discussion surrounding SaaS's struggles against a looming threat in AI. Recently, it has been promising to see a resurgence in software names that were decimated during the first quarter of 2026. In our February 6th memo we outlined a section titled, "Software is Dead" where we discussed a quality name that we were watching very intently.

> *I view this as an opportunity to watch closely and determine a sound entry on quality companies such as Microsoft. In reviewing Microsoft's chart, the 200-day MA falls around $370/share. I do not currently own Microsoft but it will be at the top of my mind moving forward. I remain steadfast in the eventual outperformance of software names. While the market appears to be fleeing from them, I'm watching with growing intent.*

We were given an opportunity to add ***MSFT*** in late March when it briefly got below $370/share, having fallen over 35% from ATHs. Much like NVDA being the overall market leader, MSFT is going to be your barometer for the software sector. Institutions will always bid up the highest quality names first in any resulting market pivot. Having entered this name in the crux of a correction, I can essentially put this holding to the side and watch from afar. Should software as a sector maintain its recent strength, MSFT will be your confirmation. We are seeing early evidence of this as MSFT currently trades over $410/share.

> *I do not think the trade on AI infrastructure is dead yet and these volatile names warrant a consideration for trading. They are high-growth, high-beta stocks that swing violently week to week. With CRDO trading around $114/share and ALAB around $119/share, I'm fine with entering a position here.*

In what I'd call a twin-trade, two very similar companies (***ALAB*** & ***CRDO***), have performed as well as one can expect since making the above comments in our March memo. As I write this, CRDO and ALAB sit at $160/share and $171/share, respectively. After discussing the macro reality earlier, I've elected to lean to the profit taking side on these names. Do I think they are done gaining? Absolutely not, but when the market hands you a perfect trade, you don't ask for seconds. I can confidently voice that decision because I am not well versed enough in these names to think of them as long-term holdings of mine. All I know is that they are growing top-line revenue in the triple-digits, absolute video game numbers from two companies who are very integrated in the AI infrastructure trade. I have simply noted an opportunity, participated, and shortly thereafter moved on. Granted, this is all coming from the mouth of a guy who sold SNDK for profit at $60/share in September, only to see it go on a historic run (+1,500%), now currently trading over $950/share. There goes my new truck…

I continue to view ***VG*** as a long-term holding although we did sell off a portion in late March around $16-17/share. At the height of the Iranian conflict, VG had returned over 150% in a matter of weeks. I fully intend on buying more of this name at lower levels and still maintain a cost basis of $8.75/share. This name will continue to provide opportunities and the long-term tailwinds will serve one well if they remain invested over the next decade. Stick to buying this name as close to $10/share as you can. I believe VG's business will dramatically increase over the next few years, Iran conflict aside.

Forward Looking Ideas

As I type this, the S&P 500 has gained over $6 trillion in market cap this April alone, and the Nasdaq has finished positive every day in April so far. There is absolutely no denying the recent strength in the market. For much of 2026 we were witnessing a multiple compression across high-growth stocks; with some reaching levels that were hard to resist. For example, *MSFT at one point was trading cheaper than Coca-Cola, McDonald's, and Walmart*. We were given MSFT, who has a ~38% non-GAAP net margin, on a $304B revenue base, in a business that's still compounding at 17% top-line, for a multiple you could only dream of. Furthermore, strip out its AI capex and the underlying FCF conversion on the legacy software business is extraordinary. Still yet, we haven't even mentioned Microsoft Azure's growth accelerating at 29% YoY. Some trades/investments appear to be eerily clear sometimes.

During market compressions, companies whose cash-flow is the furthest into the future, or more questionable, will always compress the hardest. You can go through a simple exercise of watching what names correct the hardest to determine whose earnings potential is more in question. A great candidate for this is ***PLTR***. Anyone who is familiar with the name knows it's a story reliant on how long it can sustain the current growth rate. You add in the fact our President is literally posting the stock ticker in the middle of an ongoing war and the name becomes the market's most wanted. It is a stock you can own alongside the President himself. In my opinion, if the stock holds up at $130/share in the near-term, you can confidently assume it will see ATHs again. Not many know this but JD Vance got his start after Yale law school by joining Peter Thiel's firm, who founded PLTR. Now that Vance is in office, PLTR is a key federal contractor. I would not bet against a company that is essentially the surveillance arm of the United States government. Whether people like it or not, the world is becoming a mass surveillance state.

*PLTR 2Y chart visual - April 15th, 2026

Continued…

To wrap up this April entry I'm going to highlight forward looking trade/investment names that are on the front of my mind. A few of these names will be new and a few will be familiar if you've been reading these memos through the years. I won't bother discussing ***RBRK*** and ***RDDT*** in detail this time around, but recently they have performed strongly alongside the broader rally in technology stocks. I maintain positions in both names and have added slightly through the March correction.

> *I genuinely hope this stock sees a wild swing lower, to say the $15/share range and we can trade it once again. I'll leave you with a fact; roughly 40% of grid supplied energy for data centers is coming from natural gas.*

I've talked incessantly about ***CRK*** and its swing trade utility for many years now, and just like the above March memo excerpt reads, we have once again been given an opportunity to play the stock. I've slowly begun to add this name recently and plan to continue doing so if it keeps falling. I believe buying close to $15/share will treat you well in the near-term. CRK currently trades at $16/share.

Bringing in a new name that I'm very ecstatic about, ***Marvell Technology (MRVL)***, is a stock that I have purchased recently and plan to do nothing but buy more if given a chance. Recently, NVDA announced a $2B strategic investment into MRVL and that alone has severely de-risked the stock. Not to mention their 42% YoY reported revenue growth. Those are two ingredients for a stock to run wild. My entry into this ticker was around $90/share, with the full expectation of buying more when it trends back closer to $70/share. I was happily surprised to see it rocket over $135/share this week. In truth, this name is giving me a feeling much like MU and SNDK have over the last year. I think the potential for this stock is unimaginable to me personally and that is why I'll simply do nothing but buy more in the weeks it drops. Watch this name for another opportunity closer to the $80/share ballpark. This horse can run wild in my opinion.

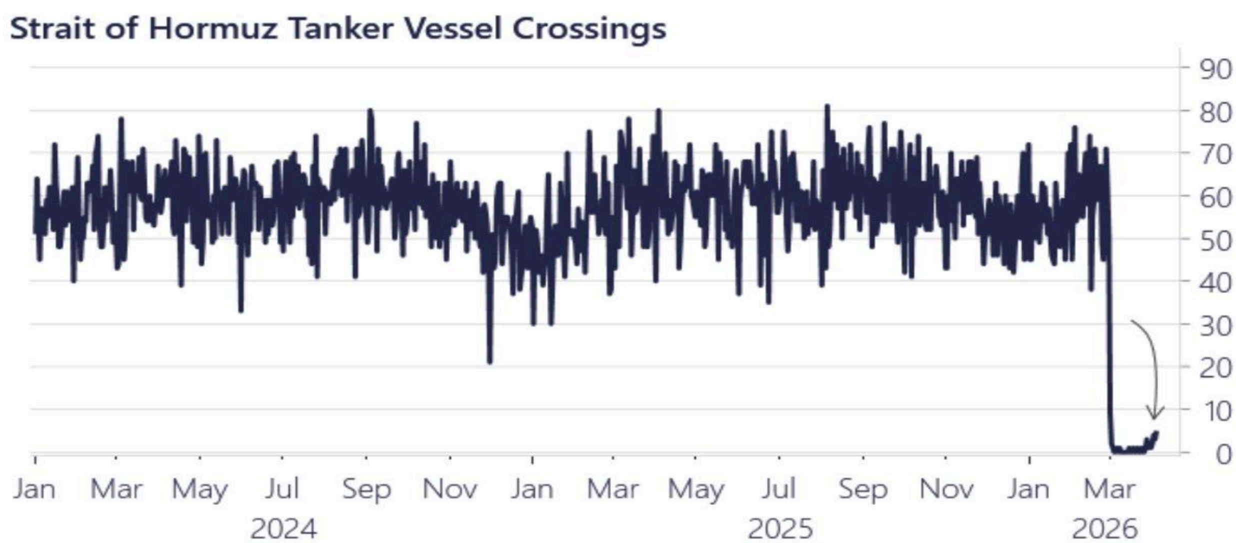
*MRVL all-time chart visual - April 15th, 2026

Another new mention I'm bringing into the spotlight is ***Fastly, Inc. (FSLY)***, a stock that some of us have been familiar with since the COVID bubble. I personally had written the stock off for many years since, but this is a textbook Stage 1 transitioning into Stage 2 set up we look for quite often in young growth names. Fundamentally, FSLY reached what some would call an inflection point in 2025, after recently reporting earnings in which it was able to report its first full-year of positive FCF alongside respectable revenue growth, driven by agentic AI tailwinds. Just a week ago FSLY had returned over 200% in 2026 alone, so I'm surely not talking about blindly going to buy shares after such a run up. What I'm inferring is that you will have an opportunity to add this name whenever it bleeds aggressively. For example, after reporting stellar earnings, the stock sold off over 40%, much of which has been recovered in less than a week. I began adding this name around $20/share and will add more on any significant pullback. There will be many wild swings if you own this name, but it is one to buy when you see it down 10% in a week. The below image illustrates stage analysis for this stock.

*FSLY all-time chart visual - April 15th, 2026

The last one I'll discuss today is ***Vistra Corp (VST)***. This stock is right in the heart of the AI energy trade being that they are an independent power producer (IPP) with existing multi-decade power purchase agreements with both Amazon and Meta. The unique aspect of their business is the fact they generate power themselves and sell directly to their customers, far superior than a typical power generator. Management's guidance through 2027 is roughly $10B with $3B being allocated to share buybacks. Not to mention, they'll pay you a dividend to sit through the volatility. VST has been heavily traded by hedge funds over the last year and even your favorite congressional members. After retreating over 30% from recent highs, I began to add a position again close to $150/share. I anticipate this stock to continue to be volatile and in the thick of every energy discussion amongst investors. Keep your eyes on this ticker as we move forward this year.

To conclude our April entry, I've included a snippet below illustrating the resumption of traffic through the Strait of Hormuz. I came across an interesting online discussion on the topic of market bottoms and where they are most likely to occur. *A common understanding is that markets bottom when the rate of change begins to improve*. Drawing back on our earlier commentary of the market wiping one out, the market knows best and always has. No matter how wretched you judge the economy to be or the current geopolitical circumstances, the market will make its move back towards greener pastures before you recognize that reality has even changed. As an example, think back to when the market started rallying when COVID data peaked in 2020. The world was black, vaccines weren't approved, and you couldn't go outside, but Mr. Market had already recognized the rate of improvement.



I continue to harp on the above because just as we discussed a near-term top forming in the market beginning last October, we cannot remain rigid to that notion when presented with a different sky. I made a comment in December that I did not envision, " 2026 being another high double digit gain for indexes." I still adhere to that statement and do see a path forward where the market remains extremely volatile throughout this year. Most everyone should be aware of that by now and recognize that at any moment, Trump can mutter something and wipe out trillions in value. Likewise, he can quite literally tell investors again that, "now is a good time to buy."

I appreciate your time today. Feel free to reach out should you wish to continue our discussion.

Best regards,

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